

STATE OF NEW YORK

1464--A

2025-2026 Regular Sessions

IN SENATE

January 10, 2025

Introduced by Sens. HARCKHAM, KAVANAGH, ADDABBO, BAILEY, BASKIN, BOTTCHEER, BRISPORT, BROUK, CLEARE, COMRIE, FAHY, FERNANDEZ, GIANARIS, GONZALEZ, GOUNARDES, HINCHEY, JACKSON, KRUEGER, LIU, MAY, MAYER, MYRIE, PARKER, RAMOS, RIVERA, SALAZAR, SANDERS, SEPULVEDA, SERRANO, STAVISKY, SUTTON, WEBB -- read twice and ordered printed, and when printed to be committed to the Committee on Environmental Conservation -- recommitted to the Committee on Environmental Conservation in accordance with Senate Rule 6, sec. 8 -- committee discharged, bill amended, ordered reprinted as amended and recommitted to said committee

AN ACT to amend the environmental conservation law, in relation to enacting the packaging reduction and recycling infrastructure act

The People of the State of New York, represented in Senate and Assembly, do enact as follows:

Section 1. Short title. This act shall be known and may be cited as the "packaging reduction and recycling infrastructure act".

§ 2. Article 27 of the environmental conservation law is amended by adding a new title 34 to read as follows:

TITLE 34

PACKAGING REDUCTION AND RECYCLING INFRASTRUCTURE ACT

Section 27-3401. Definitions.

27-3403. Selection of packaging reduction and recycling organizations.

27-3405. Responsibilities of packaging reduction and recycling organizations.

27-3407. Packaging reduction and recycling organization plan.

27-3409. Packaging reduction and recycling plan approval.

27-3411. Packaging reduction and recycling advisory council.

27-3413. Funding mechanism.

27-3415. Collection and convenience.

27-3417. Producer responsibilities.

27-3419. Department responsibilities.

EXPLANATION--Matter in italics (underscored) is new; matter in brackets [-] is old law to be omitted.

LBD04197-05-6

27-3421. Service provider responsibilities.

27-3423. Statewide packaging reduction, reuse, and recycling needs assessment.

27-3425. Education and outreach program.

27-3427. Prohibition on certain toxic substances and materials.

27-3429. Non-reusable packaging reduction standards.

27-3431. Recycled content standards.

27-3433. Recyclability criteria, reusable or refillable packaging requirements, and packaging recycling requirements

27-3435. Penalties and enforcement.

27-3437. Rules and regulations.

27-3439. State preemption.

27-3441. Other assistance programs.

27-3443. Antitrust protections.

27-3445. Severability.

§ 27-3401. Definitions.

As used in this title:

1. "Advisory council" or "council" means the packaging reduction and recycling advisory council established under section 27-3411 of this title.

2. "Affiliate" means a person who directly, or indirectly through one or more intermediaries, controls, is controlled by, or is under common control with a producer.

3. "Beverage container" shall have the same meaning as is set forth in subdivision two of section 27-1003 of this article.

4. "Brand" means any mark, word, name, symbol, design, device, or graphical element or a combination thereof, including a registered or unregistered trademark, that identifies and distinguishes a product from other products.

5. "Contamination" means:

(a) the presence of materials in a given collected material stream that are not on the minimum recyclables list maintained by the department; or

(b) the presence of materials in a given recycled material delivered as a feedstock or commodity that are not specified or accepted as a component of the feedstock or commodity.

6. "Control", including the terms "controlling", "controlled by" and "under common control with", means the possession, directly or indirectly, of the power to direct or cause the direction of (a) the management and policies of a person, (b) the operation of a person, or (c) substantially all of the assets of a person, whether through the ownership of voting securities, by contract, or otherwise.

7. "Covered services" means the collection, transfer, transportation, sorting, processing, recovery, preparation, or management of packaging materials by a service provider for purposes of packaging material recovery, reuse, recycling, or disposal as required or permitted under this title.

8. "De minimis producer" means a producer that in their most recent fiscal year:

(a) introduced less than two tons of covered material into this state;

(b) earned global gross revenues of less than five million dollars; or

(c) is an agricultural cooperative with less than fifty employees engaged in the production of dairy products.

9. "Discarded", "discards", "generated" or "generation" means packaging material that has been used for its intended purpose and is no long-

er needed by consumers, businesses, institutions, and other users, and can be managed through reuse, recycling, or disposal.

10. "Disposal" means the landfilling or incineration of material or products. "Disposal" shall also include energy recovery or energy generation by any means, including, but not limited to, incineration, combustion, pyrolysis, gasification, or solvolysis, waste-to-energy, or waste-to-fuel, or any other chemical conversion process. "Disposal" shall also include the use of materials for landfill cover.

11. "Eco-modulation" means structuring program fees in a way to provide producers with financial incentives to reduce waste at the source, increase recyclability of packaging materials, promote regional and domestic markets, responsible end markets, and post-consumer recycled content, promote reusable packaging products, including those that are contained within a reuse and refill system, discourage and decrease contamination, disincentivize designs or practices that increase the costs and adverse environmental impacts of managing the packaging materials, and encourage designs and processes that improve and facilitate development of infrastructure and systems for source reduction, reuse, recycling, and composting.

12. "Disadvantaged community" shall have the same meaning as is set forth in subdivision five of section 75-0101 of this chapter.

13. "Intentionally added substance" means a substance or material that serves an intended function or technical effect in the product or product component, including as an intentional breakdown product of an added chemical that also has a functional or technical effect in the product or product component.

14. "Minimum recyclables list" means a list of those materials that, identified by the department in regulations, must be managed through the packaging reduction and recycling program and by the municipalities and service providers that receive funding or reimbursement from the program as approved by the department in accordance with section 27-3419 of this title.

15. "Municipality" means any local government, municipal corporation, governmental subdivision of the state, local government unit, special district, school, local or regional board, commission, or authority authorized by law to plan or provide for waste management services for a specific geographical area.

16. "Packaging material", "packaging", or "covered material" means discrete material or a category of material, including residential and commercial, regardless of recyclability, including but not limited to such material types that are flexible, foam, or rigid material, including paper, cardboard, plastic, glass, metal, or multi-material, that is used for the containment, protection, handling, delivery, transport, distribution, or presentation of another product that is sold, offered for sale, imported, or distributed in the state, including through an internet transaction, and single-use plastic products. The term "packaging material", "packaging", or "covered material" does not include:

(a) Medical devices and packaging which are included with products regulated as a drug, medical device, or dietary supplement by the United States food and drug administration under the federal food, drug, and cosmetic act, 21 U.S.C. 321 et seq., Sec. 3.2(E) of 21 U.S. code of federal regulations, or the dietary supplement health and education act;

(b) Animal biologics, including vaccines, bacterins, antisera, diagnostic kits, and other products of biological origin, and other packaging materials regulated by the United States department of agriculture under the virus, serum, toxin act, 21 U.S.C. 151-159;

1 (c) Packaging regulated by the Federal Insecticide, Fungicide, and
2 Rodenticide Act, 7 U.S.C. Sec. 136 et seq. or other applicable federal
3 law, rule, or regulation;

4 (d) Packaging used to contain hazardous or flammable products regu-
5 lated by the 2012 federal Occupational Safety and Health Administration
6 Hazard Communications Standard, 29 C.F.R. 1910.1200;

7 (e) Plastic packaging containers used to contain and ship products
8 that are classified for transportation as dangerous goods or hazardous
9 materials under 40 C.F.R. 178;

10 (f) Beverage containers subject to a returnable container deposit
11 under title ten of this article and all of their packaging;

12 (g) Infant formula as defined in section 321(z) of title 21 of the
13 United States code of federal regulations;

14 (h) Medical foods as defined in section 360ee(b)(3) of title 21 of the
15 United States code of federal regulations; and

16 (i) Architectural paint containers collected and managed pursuant to
17 title twenty of this article.

18 17. "Packaging reduction and recycling organization" or "organization"
19 means a not-for-profit organization registered pursuant to 26 U.S.C.
20 501(c)(3) designated by the department for the initial organization, or
21 by a group of producers for subsequent organizations, to act as an agent
22 on behalf of each producer to develop and implement a packaging
23 reduction and recycling plan pursuant to section 27-3407 of this title
24 and comply with the organization's responsibilities under section
25 27-3405 of this title.

26 18. "Packaging reduction and recycling plan" or "plan" means a docu-
27 ment in which an organization describes the efforts it will undertake to
28 comply with the requirements of this title.

29 19. "Packaging reduction and recycling program" or "program" means the
30 program implemented by an organization, and overseen by the department,
31 to comply with and implement the provisions of this title.

32 20. "Post-consumer recycled material" means new material produced
33 using material resulting from North American recycling.

34 21. "Primary packaging" means the packaging in direct contact with the
35 product itself, also sometimes referred to as a consumer unit.

36 22. (a) "Producer" means the following person responsible for compli-
37 ance with requirements under this title for a covered material intro-
38 duced:

39 (i) for items sold in or with packaging at a physical retail location
40 in this state:

41 (1) if the item is sold in or with packaging under the brand of the
42 item manufacturer or is sold in packaging that lacks identification of a
43 brand, the producer is the person that manufactures the item;

44 (2) if there is no person to which clause one of this subparagraph
45 applies, the producer is the person that is licensed to manufacture and
46 sell or offer for sale to consumers in this state an item with packaging
47 under the brand or trademark of another manufacturer or person;

48 (3) if there is no person to which clause one or two of this subpara-
49 graph applies, the producer is the brand owner of the item;

50 (4) if there is no person described in clause one, two, or three of
51 this subparagraph within the United States, the producer is the person
52 who is the importer of record for the item into the United States for
53 use in a commercial enterprise that sells, offers for sale, or distrib-
54 utes the item in this state; or

(5) if there is no person described in clause one, two, three, or four of this subparagraph the producer is the person that first distributes the item in or into this state;

(ii) for items sold or distributed in packaging in or into this state via e-commerce, remote sale, or distribution;

(1) for packaging used to directly protect or contain the item, the producer of the packaging is the same as the producer identified under subparagraph (i) of this paragraph; and

(2) for packaging used to ship the item to a consumer, the producer of the packaging is the person that packages the item to be shipped to the consumer;

(iii) for packaging that is a covered material and is not included in subparagraphs (i) or (ii) of this paragraph, the producer of the packaging is the person that first distributes the item in or into this state; and

(iv) a person is the producer of a covered material sold, offered for sale, or distributed in or into this state, as defined in subparagraphs (i), (ii), and (iii) of this paragraph, except:

(1) where another person has mutually signed an agreement with a producer as defined in subparagraphs (i), (ii), and (iii) of this paragraph that contractually assigns responsibility to the person as the producer, and the person has joined a registered packaging reduction and recycling organization as the responsible producer for that covered material under this title. In the event that another person is assigned responsibility as the producer under this subdivision, the producer under subparagraphs (i), (ii), and (iii) of this paragraph shall provide written certification of such contractual agreement to the producer responsibility organization; and

(2) if the producer described in subparagraphs (i), (ii), and (iii) of this paragraph is a business operated wholly or in part as a franchise, the producer is the franchisor if that franchisor has franchisees that have a commercial presence within the state.

(b) "Producer" shall not include:

(i) a state, a federal or state agency, a political subdivision, or other governmental unit;

(ii) a registered 501(c)(3) charitable organization or 501(c)(4) social welfare organization; or

(iii) a de minimis producer.

23. "Product line" means a group of related products all marketed under a single brand that is sold by the same producer to distinguish products from each other for better usability for customers.

24. "Recyclable" means a packaging material that meets the criteria in subdivision one of section 27-3433 of this title.

25. "Recycling" or "recycled" means to separate, dismantle or process the materials, components or commodities contained in discards for the purpose of preparing the materials, components, or commodities for use or reuse in new products or components, not including contaminants, residues, and other process losses or use of materials as landfill cover. "Recycling" or "recycled" does not include: (a) energy recovery or energy generation by any means, including but not limited to, combustion, incineration, pyrolysis, gasification, or waste-to-fuel; (b) any chemical conversion process, including solvolysis; or (c) landfill disposal.

26. "Recycling rate" means the percentage of packaging material that is delivered to responsible end markets for recycling. The recycling rate for packaging material shall be calculated as the total weight of

packaging material that is delivered to responsible end markets for recycling in a given year divided by the total weight of the packaging material supplied or sold into the state in that year. The "recycling rate" shall not include contaminants, residues, reusable or refillable packaging or containers, or the use of materials as landfill cover.

27. "Responsible end market" means a materials market that:

(a) reuses, recycles, or otherwise recovers materials and disposes of contaminants in a manner that protects the environment and minimizes risks to public health and worker health and safety;

(b) complies with all applicable federal, state, and local statutes, rules, ordinances, and other laws governing environmental, health, safety, and financial responsibility;

(c) possesses all requisite licenses and permits required by a federal or state agency or political subdivision;

(d) if the market operates in the state, manages waste according to all applicable state laws; and

(e) minimizes adverse impacts to disadvantaged communities, as defined in this title.

28. "Reuse" means the return of packaging material back into the economic stream for use in the same kind of application intended for the original packaging, without effectuating a change in the original composition of the package, the identity of the product, or the components thereof.

29. "Reuse and refill system" means a program or set of mechanisms designed to facilitate multiple uses of packaging. Mechanisms may include, but are not limited to, deposits, incentives, curbside collection, collection kiosks, refill stations, dishwashing facilities, and re-distribution networks.

30. "Reusable or refillable packaging and containers" means packaging material and containers that are specifically designed and manufactured to maintain shape and structure, and be materially durable for repeated sanitizing, washing, and reuse; provided, however, that such packaging and containers must comply with the high reuse and refill rate as set forth in the plan and approved by the department.

31. "Secondary packaging" means packaging intended to bundle, sell in bulk, brand, or display a product.

32. "Service provider" means an entity that provides covered services for covered materials. A municipality that provides or that contracts or otherwise arranges with another party to provide covered services for covered materials within its jurisdiction may be a service provider regardless of whether it provided, contracted for, or otherwise arranged for similar services before the approval of the applicable organization plan.

33. "Single use plastic" means single use plastic products that frequent the waste stream including, but not limited to, single use plastic items such as straws, utensils, cups, plates, and plastic bags.

34. "Tertiary packaging" means packaging intended to protect the product during transport.

35. "Unit weight" means the weight of packaging material per unit of product sold.

§ 27-3403. Selection of packaging reduction and recycling organizations.

1. Until the date which is ten years after the effective date of this title, there shall be only one packaging reduction organization and all producers shall be required to register with such packaging reduction organization.

2. Within six months of the effective date of this title, the department shall approve a not-for-profit to serve as the initial packaging reduction and recycling organization. Any not-for-profit seeking to serve as the initial packaging reduction and recycling organization shall submit an application on a form and format prescribed by the department.

3. Regulations promulgated pursuant to this title may provide for additional organizations beginning ten years after the effective date of this title if, after ten years and the recommendation by the advisory council pursuant to subdivision ten of section 27-3411 of this title, the department determines that it would be beneficial for there to be additional organizations implementing the program, such regulations shall ensure:

- (a) consistency and coordination between all organizations;
- (b) responsibilities carried out are consistent and seamless;
- (c) municipalities and service providers are reimbursed for recycling services as required under this title; and
- (d) that packaging material requirements are not reported as generated, supplied or managed by more than one organization.

§ 27-3405. Responsibilities of packaging reduction and recycling organizations.

1. Producers shall register with a packaging reduction organization to meet the responsibilities of the program pursuant to the provisions of this section, and each organization shall be responsible for implementation of the program on behalf of producers registered with such organization.

2. Each organization involved in the administration of the program shall:

(a) Develop a packaging reduction and recycling plan and submit such plan to the advisory council for review and comment, and after any modifications in response to such comments, submit the plan to the commissioner for approval pursuant to section 27-3407 of this title;

(b) Collect and compile data from producers as required by section 27-3417 of this title;

(c) Calculate reimbursement rates through the objective formula approved by the department as contemplated by paragraph (e) of subdivision four of section 27-3407 of this title for the costs associated with this title and the collection, transportation, sorting, handling, storage, and recycling, disposal, or other processing of packaging materials, including associated administrative costs;

(d) Collect fees due from producers as required by section 27-3413 of this title;

(e) Reimburse the department and any other relevant state agencies for the costs associated with conducting the statewide needs assessment required by section 27-3423 of this title, the administration of the program by the department, and the expenses of the advisory council;

(f) Distribute funds to reimburse municipalities for any associated reasonable and necessary administrative costs and service providers for the costs associated with this title, including the implementation of reduction, refill, and reuse programs, and the collection, transportation and recycling, disposal or other processing of packaging materials;

(g) Undertake an effective statewide education and public outreach program as required by section 27-3425 of this title;

(h) Offer technical support to producers, with an emphasis on support to small businesses, to assist them with compliance with the requirements of this title, including information about procuring affordable

1 alternatives to non-compliant packaging material and reducing packaging
2 material; and

3 (i) Make recommendations to the department regarding investments in
4 reduction, refill, reuse, collection, transportation, recycling,
5 disposal, and other processing of packaging materials consistent with
6 this title.

7 3. Annually, each organization shall submit a report to the department
8 that, at a minimum, must include the following information:

9 (a) Contact information for the organization;

10 (b) A list of all (i) producers, (ii) brands, and (iii) products that
11 each producer sells, offers for sale, or distributes into the state that
12 are contained, protected, delivered, presented, or distributed in or
13 using packaging material;

14 (c) The total amount, by both weight and number of units, which may be
15 estimated if an exact amount is infeasible to provide, of each type of
16 packaging material used to contain, protect, handle, deliver, transport,
17 distribute, or present products sold, offered for sale, or distributed
18 into the state by each individual producer during the prior calendar
19 year;

20 (d) The total amount, by both weight and number of units, of each
21 material used to contain, protect, handle, deliver, transport, distrib-
22 ute, or present products sold, offered for sale, or distributed into the
23 state by all producers during the prior calendar year;

24 (e) The total amount, by weight, of each material category delivered
25 to responsible end markets for recycling as a result of activities
26 undertaken by the organization, either directly or through reimburse-
27 ment or contractual arrangement;

28 (f) A calculation of the recycling rate of each material category;

29 (g) A complete accounting of all payments made to and by the organiza-
30 tion during the prior calendar year;

31 (h) An analysis of the average time it took to reimburse munici-
32 palities during the prior calendar year;

33 (i) A list of producers reasonably believed to be out of compliance
34 with the requirements of this title, and the reason the organization
35 reasonably believes the producer to be out of compliance. Information
36 on non-compliant producers shall be provided to the commissioner and
37 attorney general's office in a timely fashion and for possible enforce-
38 ment action;

39 (j) A description of the educational and outreach efforts made by the
40 organization in the prior calendar year, and how those efforts were
41 designed to reduce packaging waste, and increase reuse and recycling of
42 packaging materials;

43 (k) An assessment of whether the fee structure adopted by the organ-
44 ization pursuant to section 27-3413 of this title has been effective in
45 incentivizing improvements to the design of packaging material, includ-
46 ing actual reduction of packaging material, increases in reusable and
47 refillable packaging material, recycling rates for packaging materials,
48 and decreases in the amount of packaging material;

49 (l) A description of the reimbursements and expenditures, including
50 the timeliness of such reimbursements, made pursuant to section 27-3413
51 of this title;

52 (m) Independently audited financial statements; and

53 (n) Any additional information required by the department, including
54 Universal Product Codes (UPC) should they deem them necessary.

55 4. Each organization shall conduct public outreach and provide consum-
56 ers with educational and informational materials related to reducing the

1 amount of packaging discarded and disposed of in the state as outlined
2 in section 27-3425 of this title.

3 5. Each organization shall operate a program that provides for
4 collection convenience as described in section 27-3415 of this title.

5 6. An organization shall not share, except with the department, the
6 advisory council, and the toxic packaging task force, or as required by
7 law, any proprietary information that is identified by a producer as
8 proprietary information without prior written consent.

9 § 27-3407. Packaging reduction and recycling organization plan.

10 1. Within thirty months of the effective date of this title, the
11 initial packaging reduction organization shall develop and submit a
12 packaging reduction and recycling plan for implementation of the rules
13 and regulations of this title, including ensuring timely disbursements
14 to municipalities and service providers, to the department for approval.
15 The plan shall be submitted to the advisory council for review pursuant
16 to section 27-3411 of this title prior to the department's approval.
17 Any subsequent or additional organization shall develop and submit a
18 packaging reduction and recycling plan and comply with all the require-
19 ments of this section, and have such plan approved pursuant to section
20 27-3409 of this title.

21 2. The plan shall cover five years and be updated every five years
22 following the approval of the original plan. The department shall have
23 the discretion to require the plan to be reviewed or revised prior to
24 the five-year period pursuant to section 27-3419 of this title.

25 3. Each producer shall begin program implementation within one year
26 after the date the plan for the initial organization is approved and in
27 no event later than four years of the effective date of this title. If
28 no plan is approved by that timeframe, the department, in its
29 discretion, shall either approve a plan with conditions or specify
30 modifications that must be made within forty-five days to conform the
31 submitted plan to the requirements of this section. If a producer is
32 not making good faith efforts to comply with the requirements of this
33 title during such forty-five day period, the producer shall be subject
34 to penalties for noncompliance.

35 4. The submitted plan shall include, but not be limited to:

36 (a) contact information, including the name, e-mail address, physical
37 address, and telephone number of the authorized representative of the
38 producer or producers;

39 (b) the identity of the producer or producers participating in the
40 plan;

41 (c) a comprehensive list of the types and brands of covered materials
42 for which the producer or producers are responsible for;

43 (d) a description of how the organization will implement the program,
44 including the mechanisms and processes for providing assistance to
45 producers to comply with the reporting requirements of this title;

46 (e) in relation to funding the program:

47 (i) a proposed budget outlining the anticipated costs of operating the
48 program and a description of the method by which the organization
49 intends to determine and collect producer payments during the initial
50 startup period;

51 (ii) a description of the proposed funding mechanism, identified in
52 section 27-3413 of this title, that meets the requirements of this
53 title;

54 (iii) a description of how the organization will maintain a financial
55 reserve sufficient to operate the program in a fiscally prudent and
56 responsible manner; and

1 (iv) a description of how the organization intends to manage and
2 account for all program related funds which pass through the organiza-
3 tion, including how timely reimbursements to service providers will be
4 provided;

5 (f) an objective formula establishing a reimbursement rate, in consul-
6 tation with service providers which covers obligations identified in the
7 needs assessment and the minimum recyclables list reflects the reason-
8 able and necessary costs of providing covered services, and takes into
9 account variable regional costs along with responsible end markets for
10 participating service providers;

11 (g) a description of the process for participating service providers
12 to recoup reasonable costs as established by the objective formula, from
13 the organization, including, as applicable, any administrative, sorting,
14 collection, transportation, public education, or processing costs;

15 (h) a description of the process for participating municipalities to
16 recoup reasonable and necessary administrative costs of the program from
17 the organization, where such cost reimbursements may be in addition to
18 any service provider fees should the municipality also register as a
19 service provider;

20 (i) at a minimum, the following funding mechanism details shall be
21 provided in the plan:

22 (i) proposed program fees, provided as a table listing the rate paid
23 for each material category, including at a minimum those identified in
24 subdivision three of section 27-3413, which in sum, will generate suffi-
25 cient funding to cover obligations identified in the needs assessment
26 and the requirements of this title; and

27 (ii) proposed program fee adjustments to incorporate eco-modulation
28 factors;

29 (j) a description of the characteristics of each type of packaging
30 material that is relevant to the eco-modulating factors set forth pursu-
31 ant to section 27-3413 of this title;

32 (k) if the municipality does not elect to provide service, a
33 description of the process used for contracting with a service provider
34 to provide such services and the recoupment of reasonable costs, includ-
35 ing procedures to ensure that such service provider is not compensated
36 for such services by both the organization and the consumer for the same
37 service, provided, however, that the packaging recycling and reduction
38 organization and any such service provider has entered into a labor
39 peace agreement with a bona-fide labor organization that is actively
40 engaged in representing or attempting to represent its employees and its
41 contractors' employees;

42 (l) a description of how the organization will work with existing
43 waste haulers, material recovery facilities, recyclers, and service
44 providers to operate or expand current collection programs to address
45 material collection methods, improve efficiency and yield of processing
46 materials from separate collection streams, expand local material recov-
47 ery options, and increase packaging reduction and reuse;

48 (m) a description of how the organization will use open, competitive,
49 and fair procurement practices should they directly enter into contrac-
50 tual agreements with service providers;

51 (n) a description of how a municipality will participate, on a volun-
52 tary basis, with collection and how existing municipal recycling proc-
53 essing and collection infrastructure will be used;

54 (o) a description of how the organization plans to meet the conven-
55 ience requirements set forth in this title;

1 (p) a description of the process for end-of-life management, including
2 recycling and disposal of residuals collected for recycling, using envi-
3 ronmentally sound management practices and responsible end markets;

4 (q) a description of how the organization shall provide the option to
5 purchase recycled materials from processors;

6 (r) a description of how producers are complying with the waste
7 reduction, toxics, recycling and post-consumer content requirements of
8 this title, and the process for verifying compliance, including any
9 third party verification services;

10 (s) a description of how: (i) the organization will strategically
11 invest in existing and future reuse and recycling infrastructure and the
12 expansion or strengthening for and use of covered materials by responsi-
13 ble end markets in the state or region in consultation with the depart-
14 ment and in a manner not inconsistent with the needs assessment, includ-
15 ing, but not limited to, installing or upgrading equipment to improve
16 the sorting of covered materials or mitigating the impacts of materials
17 on other commodities at existing sorting and processing facilities, and
18 capital expenditures for new technology, equipment, and facilities; and
19 (ii) how the process to offer and select opportunities will be conducted
20 in an open, competitive, and fair manner;

21 (t) a description of how the organization's recycling infrastructure
22 and market development investments (i) were informed by the results of
23 the needs assessment, and (ii) will utilize the state's existing infras-
24 tructure;

25 (u) a process to address concerns and questions from customers and
26 residents;

27 (v) a description of the organization's public outreach education
28 program for consumers and other stakeholders;

29 (w) a description of how the comments of stakeholders were considered
30 and addressed in the development of the plan;

31 (x) a detailed description of how the organization consulted with the
32 advisory council, the public, and other stakeholders in the development
33 of the plan prior to its submission to the department, and to what
34 extent the organization specifically incorporated the advisory council's
35 input into the plan;

36 (y) a comprehensive contingency plan demonstrating how the activities
37 in the plan will continue to be carried out by some other entity, if
38 needed, such as an escrow company, until such time as a new plan is
39 submitted and approved by the department;

40 (i) upon the expiration of an approved plan;

41 (ii) in the event that the organization has been notified by the
42 department that it must transfer implementation responsibility for the
43 plan to a different organization;

44 (iii) in the event that the organization notifies the department that
45 it will cease to implement an approved plan; or

46 (iv) in any other event that the organization can no longer carry out
47 plan implementation;

48 (z) a description of how the program shall reimburse service provid-
49 ers, including but not limited to a description of how the program will
50 establish;

51 (i) a process for service providers to submit invoices and be fully
52 reimbursed for covered services provided;

53 (ii) clear and reasonable timelines for reimbursement; and

54 (iii) a process that utilizes a third-party mediator to resolve
55 disputes that arise between the organization and a service provider

1 regarding the determination of reimbursement rates and payment of
2 reimbursements;

3 (aa) performance standards for service providers as applicable to the
4 service provided, including but not limited to:

5 (i) requirements that service providers must accept all covered mate-
6 rials on the list established by the department; and

7 (ii) labor standards and safety practices, including but not limited
8 to safety programs, health benefits, and living wages;

9 (bb) a description of how the organization will treat and protect
10 nonpublic data submitted by service providers;

11 (cc) a description of how the organization will provide technical
12 assistance to service providers in order to assist them in delivering
13 covered materials to responsible end markets; and

14 (dd) any other additional information required by the department.

15 5. The organization shall also provide the advisory council a reason-
16 able period of time to review and comment upon the draft plan prior to
17 its submission to the department in accordance with section 27-3409 of
18 this title which shall in no event be less than sixty days. The organ-
19 ization shall make an assessment of comments received and shall provide
20 a summary and an analysis of the issues raised by the advisory council
21 and significant changes suggested by any such comments, a statement of
22 the reasons why any significant changes were not incorporated into the
23 plan, and a description of any changes made to the plan as a result of
24 such comments.

25 § 27-3409. Packaging reduction and recycling plan approval.

26 1. Before approval or denial of a packaging reduction and recycling
27 plan can be made in accordance with this title, the producer or organ-
28 ization shall submit the plan to the packaging reduction and recycling
29 advisory council. The advisory council shall then make a recommendation
30 regarding approval or disapproval of the plan in accordance with section
31 27-3411 of this title.

32 2. Within sixty days of the advisory council making a recommendation
33 to the department, the department shall make a determination to approve
34 the plan as submitted; approve the plan with conditions; or deny the
35 plan, with reasons for the denial.

36 3. The department may establish additional plan requirements in addi-
37 tion to those identified herein to fulfill the intent of this title;
38 provided, however, that any additional requirements shall be established
39 one year prior to a required submission of a plan.

40 4. The department may rescind the approval of an approved plan at any
41 time for cause and with documented justification.

42 5. The maintenance of a labor peace agreement as contemplated by para-
43 graph (k) of subdivision four of section 27-3407 of this title shall be
44 an ongoing material condition of plan approval.

45 6. For the purposes of this title, "labor peace agreement" means an
46 agreement between an entity and labor organization that, at a minimum,
47 protects the state's proprietary interests by prohibiting labor organ-
48 izations and members from engaging in picketing, work stoppages,
49 boycotts, and any other economic interference.

50 § 27-3411. Packaging reduction and recycling advisory council.

51 1. There is hereby established within the department a packaging
52 reduction and recycling advisory council to receive and review the pack-
53 aging reduction and recycling plans required under section 27-3407 of
54 this title, to make recommendations to the department regarding approval
55 of the plans, to review the annual reports produced by organizations and

1 to make recommendations to the department and organizations as required
2 by this section.

3 2. The advisory council shall convene for the first time no later than
4 one year after the effective date of this title. The advisory council
5 shall be composed of nineteen members. Nine shall be appointed by the
6 commissioner, four shall be appointed by the speaker of the assembly,
7 one shall be appointed by the minority leader of the assembly, four
8 shall be appointed by the temporary president of the senate and one
9 shall be appointed by the minority leader of the senate. The advisory
10 council shall include at least one member from each of the following:

11 (a) a municipal association or municipal program, including an addi-
12 tional municipal representative from cities with a population of one
13 million or more residents;

14 (b) a statewide environmental organization;

15 (c) a representative of a disadvantaged community affected by solid
16 waste infrastructure;

17 (d) an environmental justice organization;

18 (e) a statewide waste disposal or recycling association;

19 (f) a materials recovery facility located within the state;

20 (g) a recycling collection provider;

21 (h) a manufacturer of packaging materials utilizing post-consumer
22 recycled content;

23 (i) a consumer advocate;

24 (j) a retailer;

25 (k) a public health specialist;

26 (l) a producer and an organization established under this title as
27 non-voting members;

28 (m) a representative of a labor organization representing waste
29 collection employees;

30 (n) a representative of a labor organization representing municipal
31 solid waste and recycling processing employees; and

32 (o) a representative of a manufacturer of packaging materials or a
33 trade association representing such manufacturers or materials that
34 assists their customers with plan compliance.

35 3. Appointments to the advisory council are term-limited to ten
36 consecutive years of service; the chair shall be chosen through a major-
37 ity vote of its members and shall serve no longer than three consecutive
38 years.

39 4. Advisory council members shall serve without compensation, except
40 that a member of the committee who is a state officer or employee may
41 receive their regular compensation while engaging in the business of the
42 committee, but shall be entitled to receive reimbursement for any actu-
43 al, necessary expenses incurred in the course of performing business for
44 the committee.

45 5. All decisions made by the advisory council shall be decided by
46 voting and votes shall only be valid when a quorum is present. A quorum
47 shall exist when greater than fifty percent of voting members are pres-
48 ent. The advisory council shall meet at least once a year by the call of
49 the chair or by request of more than half the members. The decisions of
50 the advisory council shall be by vote of the majority of its membership.

51 6. The council shall determine whether the plan submitted under
52 section 27-3409 of this title meets the criteria and objectives under
53 such section in making its recommendation.

54 7. The advisory council shall, within sixty days of the submission of
55 a packaging reduction and recycling plan, either:

1 (a) forward the plan to the commissioner with its recommendation for
2 approval; or

3 (b) forward the plan to the commissioner with its disapproval and
4 stated reasons therefor, including any recommended changes to the plan
5 necessary for approval.

6 8. An organization may resubmit a packaging reduction and recycling
7 plan for approval at any time. Upon such resubmission, the advisory
8 council shall, within sixty days, forward the plan to the commissioner
9 with its recommendation for approval or disapproval.

10 9. The advisory council shall review the submitted annual reports and
11 make such recommendations to the department and the organization for
12 improving future administration of the program and compliance with this
13 title.

14 10. Thirty months from the date the department adopts rules and regu-
15 lations pursuant to this title, and every three years thereafter, the
16 advisory council shall conduct a review of all relevant data, including
17 annual reports, the latest scientific data available, any pertinent
18 statewide waste and reuse data, and any other information deemed impor-
19 tant, to make recommendations to the following:

20 (a) organizations for any changes in the administration of the
21 program, including feedback on the education and outreach program as
22 outlined in section 27-3425 of this title;

23 (b) the department for any necessary changes to regulations, the fund-
24 ing mechanism, reimbursement and expenditure policies, or whether it
25 would be beneficial for there to be additional organizations implement-
26 ing the program; and

27 (c) the legislature for recommended statutory changes. Such recommen-
28 dations shall include a recommendation as to whether to modify the defi-
29 nition of recycling under this title.

30 § 27-3413. Funding mechanism.

31 1. An organization shall establish such program participation fees for
32 producers through the plan pursuant to section 27-3407 of this title,
33 which shall be sufficient to cover all costs of the program, including
34 administration, enforcement, the statewide needs assessment, and all
35 other state costs of the program and organizations' costs of the
36 program, including but not limited to those costs described in subdivi-
37 sion four of this section.

38 2. An organization shall structure program fees to provide producers
39 with financial incentives through eco-modulation, to reward waste and
40 source reduction and recycling compatibility innovations and practices,
41 and to disincentivize designs or practices that increase costs of manag-
42 ing the products or materials that contain toxic substances.

43 3. An organization may adjust fees to be paid by participating
44 producers based on factors that affect system costs. At a minimum, fees
45 shall be variable based on:

46 (a) The category of packaging material, provided that the list of such
47 packaging material categories for which there is a specific producer fee
48 shall include, at a minimum, the following material types:

49 (i) Paper;

50 (ii) Cardboard;

51 (iii) Corrugated cardboard;

52 (iv) Wood;

53 (v) Glass;

54 (vi) Polyethylene terephthalate (PET);

55 (vii) High density polyethylene (HDPE);

56 (viii) Expanded polystyrene (EPS);

1 (ix) Polystyrene;
2 (x) Bio-plastics;
3 (xi) Generic plastics;
4 (xii) Plastic film;
5 (xiii) Other plastics;
6 (xiv) Ferrous metals;
7 (xv) Aluminum;
8 (xvi) Tinsplate;
9 (xvii) Generic metals; and
10 (xviii) Mixed materials including laminates and packaging containing
11 more than one of the above materials;
12 (b) The quantity of each packaging material type, by weight and unit
13 weight, that the producer sells, offers for sale, or distributes in the
14 state;
15 (c) Eco-modulation, including as described in subdivision two of this
16 section, beginning two years after producers pay their first fees.
17 4. Producer fees shall be designed to cover, at minimum, the total
18 costs associated with:
19 (a) Providing curbside collection or other form of collection service
20 that is, at minimum, as convenient as is detailed in section 27-3415 of
21 this title;
22 (b) The department's and other state agencies' administration and
23 enforcement of this title;
24 (c) Organizations' administration of this title;
25 (d) The cost associated with the development of the needs assessment,
26 as required in section 27-3423 of this title;
27 (e) The costs associated with the advisory council;
28 (f) The costs associated with establishing packaging reduction and
29 reuse infrastructure;
30 (g) The cost of reimbursement for, or providing, recycling and
31 disposal services, including the collection cost, processing cost for
32 each recyclable material, cost of handling, disposal, and transportation
33 of non-recyclable material types collected as part of collection, trans-
34 portation cost of recycling for each material type; and
35 (h) Any other factors determined by the department.
36 5. An organization may adjust producer fees based on factors that
37 affect system costs provided that the specific parameters of such
38 adjustments and fees are included in the plan approved by the depart-
39 ment. At a minimum, fees shall be variable based on:
40 (a) costs to provide curbside collection or another form of service
41 that is, at minimum, as convenient as curbside collection or as conven-
42 ient as the previous collection plan in the particular jurisdiction
43 should collection not be provided;
44 (b) costs to process packaging materials for acceptance by responsible
45 end markets;
46 (c) whether the packaging material would typically be readily-recycla-
47 ble; and
48 (d) the commodity value of a packaging material, as defined by
49 published indices, which shall include allowances for commodities that
50 have excessive residual contamination.
51 6. The eco-modulated fees shall be adjusted, or the producers may be
52 provided a credit, as detailed in the plan, based upon the percentage of
53 post-consumer recycled material content and such percentage of post-con-
54 sumer recycled content shall be verified by the organization or through
55 an independent third party approved to perform verification services to
56 ensure that such percentage exceeds the minimum requirements in the

1 packaging, as long as the recycled content does not disrupt the poten-
2 tial for future recycling.

3 7. In addition to the annual schedule of fees approved in the plan, an
4 organization fee schedule may include a special assessment on specific
5 categories of packaging materials, identified in the plan, if the nature
6 of the packaging material imposes unusual costs in collection or proc-
7 essing or requires special actions to address effective access to recy-
8 cling or successful processing in recycling facilities.

9 8. The eco-modulated fees shall be structured to provide producers
10 with financial incentives to encourage:

11 (a) A reduction in total packaging as measured by unit weight used by
12 producers, and discarded by consumers, businesses, institutions, and
13 other users. Weight reductions shall not be achieved by substituting
14 plastic for other materials types;

15 (b) An increase in the proportion of a producer's total packaging that
16 is managed within a reuse and refill system;

17 (c) An increase in the proportion of a producer's total packaging that
18 is deemed recyclable as determined by an annual review process as
19 described in section 27-3405 of this title;

20 (d) A reduction in toxic components in packaging materials;

21 (e) A reduction in landfilled or incinerated material; and

22 (f) Packaging that is not disruptive of recycling processes due to
23 labels, inks, and adhesives containing heavy metals or other toxic
24 substances that would result in contamination of the recycling process.

25 9. An organization shall be responsible for calculating and disbursing
26 funding at a reasonable rate developed through an objective formula
27 approved by the department, which includes the general quality of
28 covered materials collected by service providers, and such reasonable
29 rate may be varied based on population density rates for municipal
30 services utilized by an organization if the municipality elects to be
31 compensated by the organization for reimbursement for all costs eligible
32 under this title in the collection, recovery, recycling, and processing
33 of covered materials and products as or with a service provider.

34 10. If a municipality does not elect to provide service, the organiza-
35 tion shall be responsible for contracting with a service provider for
36 services and shall be responsible for calculating and disbursing funding
37 at a reasonable rate for reimbursement for all costs eligible under this
38 title for collection, recycling, recovery, processing, and disposal
39 services provided by the service provider. Any such contract shall be
40 subject to a labor peace agreement as contemplated by paragraph (k) of
41 subdivision four of section 27-3407 of this title.

42 11. To facilitate an organization's cost reimbursement determination,
43 participating service providers shall report data related to their costs
44 and the value of materials to the organization. Cost calculations shall
45 take into consideration the amount received from the sale of source-se-
46 parated materials.

47 12. There shall be no fee assessed on reusable or refillable packaging
48 and containers contained within a reuse or refill system.

49 13. Any funds directly collected pursuant to this title shall not be
50 used to carry out lobbying activities on behalf of an organization.

51 14. Notwithstanding any deposits that are charged to the consumer for
52 reusable or refillable packaging, or containers contained within a reuse
53 or refill system, no retailer shall charge a point-of-sale or other fee
54 to consumers to facilitate a producer or organization to recoup the
55 costs associated with meeting the obligations under this title.

1 15. Nothing in this title shall require a municipality to participate
2 in the program, provided that a municipality must give at least six
3 months' notice of its intent to cease participation.

4 § 27-3415. Collection and convenience.

5 1. The program shall provide for widespread, convenient, and equitable
6 access to collection opportunities for packaging materials at no addi-
7 tional cost to service providers. Such opportunities, including curbside
8 collection, shall be provided to all residents of the state in a manner
9 that is as convenient as the collection of solid waste as provided to
10 the consumer in that geographic area as of the effective date of this
11 title. Organizations shall ensure services continue for existing
12 collection programs as of the effective date of this title, either
13 directly or through a contract to provide services, and that such
14 services are continued through such producer or organization's plan
15 pursuant to section 27-3405 of this title.

16 2. Participation in the program shall not restrict a jurisdiction's
17 consumer's ability to contract directly with third parties to obtain
18 collection services if consumers have the option to enter into such
19 contracts as of the effective date of this title, as long as the consum-
20 er still voluntarily chooses to contract directly with the third party.
21 The municipality shall not provide disbursement to such third party
22 should the municipality provide widespread recycling services either
23 directly or through a contract that is different from the contract with
24 such service provider, and there shall be procedures in place to ensure
25 that no service provider is compensated more than once for the same
26 service.

27 3. Organizations may rely on a range of means to collect various cate-
28 gories of covered materials so long as collection options include curb-
29 side collection services provided by municipal programs, municipal
30 contracted programs, solid waste collection companies, or other approved
31 entities as identified by the department if at a minimum:

32 (a) the category of packaging materials is on the minimum recyclables
33 list created by the department, is suitable for waste collection and can
34 be effectively sorted by the facilities receiving the curbside collected
35 material;

36 (b) the provider of the collection service agrees to the organiza-
37 tion's service provider costs arrangement; and

38 (c) any private contract for such services is subject to a labor peace
39 agreement as contemplated by paragraph (k) of subdivision four of
40 section 27-3407.

41 4. All service providers shall provide for the collection and recycl-
42 ing of all packaging materials contained on the minimum recyclables
43 lists in order to be eligible for reimbursement; provided, however,
44 nothing shall penalize a service provider for recovering and recycling
45 materials that are generated in the municipality that are not included
46 on the minimum recyclables lists as long as it can be demonstrated that
47 such materials have a responsible end market for purchase as determined
48 by the department in consultation with the producer or organization.

49 5. Reimbursement shall cover collection, processing, transportation,
50 and recycling and disposal of covered materials so long as the program
51 includes at least the minimum recyclables list. The department may grant
52 an exception to the requirements in this subdivision upon a written
53 showing by the service provider that compliance with the requirements is
54 not practicable for a specific identified product or material and if the
55 department finds it is in the best interest of the intent of this title

1 to grant an exception; provided, however, that any such exception grant-
2 ed by the department shall not exceed twelve months.

3 6. Program funds that are not reimbursements outlined in this title
4 shall be used for investment in collection systems for recycling or
5 reuse, transportation systems for recycling or reuse, reuse systems,
6 washing systems, redistribution systems, technology for tracking and
7 data collection, capital expenditures on new and emerging technology
8 that is focused on reusable and refillable packaging, as well as equip-
9 ment, and facilities, and other projects as contemplated by paragraph
10 (s) of subdivision four of section 27-3407 of this title.

11 7. Nothing in this title shall be deemed to automatically void or
12 nullify any collection contracts in effect as of the effective date of
13 this title.

14 § 27-3417. Producer responsibilities.

15 1. Beginning with the required program implementation date as contem-
16 plated by subdivision three of section 27-3407 of this title and in no
17 event later than four years after the effective date of this title, a
18 producer shall not sell, offer for sale, or distribute into the state a
19 product contained, protected, delivered, presented, or distributed in
20 packaging unless the producer is registered with an organization and in
21 full compliance with all requirements of this title. Producers shall
22 register with the initial organization within one year of the effective
23 date of this title; provided, however, that any person who becomes a
24 producer thereafter shall register with an organization and begin
25 program implementation within six months thereof or be subject to penal-
26 ties for noncompliance.

27 2. Each producer shall provide the organization with the following
28 information as part of registration:

29 (a) Contact information, including the name, e-mail address, physical
30 address, and telephone number of the authorized representative of the
31 producer; and

32 (b) Any other information required by the department.

33 3. One year following producer registration with the organization,
34 producers shall be required to report:

35 (a) A comprehensive list of the categories and brands of packaging
36 materials for which the producer or producers are responsible; and

37 (b) The total amount, in units and weight, of each category of packag-
38 ing material sold, offered for sale, or distributed for sale into the
39 state by the producer in the prior calendar year.

40 4. Producers are responsible for payment of fees, through an organiza-
41 tion, based on the quantity, category of packaging material used in the
42 state, and other factors. Producers shall make the first payment to an
43 organization within six months of approval of a plan, pursuant to
44 section 27-3409 of this title, and annually thereafter.

45 5. Producers are responsible for meeting the toxic substances, packag-
46 ing material reduction, post-consumer content, and recyclability stand-
47 ards under this title.

48 6. A producer shall electronically submit annually, to both the
49 department and an organization, a written declaration signed by an
50 authorized representative, verifying the producer's compliance with:

51 (a) The packaging material reduction requirements of this title;

52 (b) The packaging material recycled content requirements of this
53 title;

54 (c) The packaging material recyclability requirements of this title;

55 (d) The toxic substance requirements of this title;

1 (e) Their obligations to pay fees to the organization pursuant to
2 section 27-3413 of this title and subdivision three of this section; and
3 (f) Any reimbursement obligations they have to the organization in
4 connection with this title.

5 7. Nothing in this title shall impair a producer's eligibility for tax
6 credits or other business incentives for which they would otherwise
7 qualify.

8 § 27-3419. Department responsibilities.

9 1. Within one year of the effective date of this title, the department
10 shall register service providers seeking reimbursement for covered
11 services provided within this title and publicly post the list of regis-
12 tered service providers.

13 2. Within eighteen months of the effective date of this title, the
14 department shall, in accordance with section 27-3435 of this title,
15 promulgate all rules and regulations necessary to implement, administer,
16 and enforce the provisions of this title, including setting standards
17 for consumer protection when the organization directly disburses funds
18 to third parties. Such rules and regulations shall include prohibiting
19 certain toxics in packaging pursuant to section 27-3427 of this title
20 as of the dates set forth therein.

21 3. Beginning two years after the required program implementation date
22 as contemplated by subdivision three of section 27-3407 of this title
23 and in no event later than three years after the effective date of this
24 title, and annually thereafter, the department shall utilize the infor-
25 mation obtained pursuant to paragraphs (b), (c), (d), (e), (f) and (g)
26 of subdivision three of section 27-3405 of this title, and any other
27 information available to the department, with input from the advisory
28 council, to produce an annual report to be shared with the legislature
29 and posted publicly on the department's website.

30 4. The department shall establish and maintain the minimum recyclables
31 lists by regulation. The department may update such lists annually,
32 after the initial organization's plan is first approved, considering
33 recommendations from organizations and the advisory council. The minimum
34 recyclables lists shall meet the requirements of subdivision one of
35 section 27-3433 of this title.

36 5. In the event that the department determines that the organization
37 no longer meets the requirements of this title, or fails to implement
38 and administer the requirements of this title in a manner that effectuates
39 the purposes of this title, after reasonable opportunity to cure
40 such deficiencies, the department shall revoke its approval of such
41 organization and, subject to the contingency plan contemplated by para-
42 graph (x) of subdivision four of section 27-3407 of this title, shall
43 select a new organization pursuant to section 27-3403 of this title.

44 § 27-3421. Service provider responsibilities.

45 1. Within one year of the effective date of this title and annually
46 thereafter, service providers seeking reimbursement for covered services
47 provided shall register with the department with contact information for
48 a representative of the service provider, the address of the service
49 provider, and any other information determined by the department.

50 2. Service providers shall be responsible for the covered services for
51 the covered materials in this title.

52 3. Service providers shall submit invoices to the organization for
53 reimbursement of covered services rendered.

54 4. Service providers shall meet performance standards established in
55 this title.

1 5. Service providers shall ensure that covered materials are sent to
2 responsible end markets.

3 6. Service providers shall provide to an organization information on
4 amounts, covered material types, and volumes of covered materials by
5 covered service method.

6 7. Service providers that invoice customers shall display the service
7 provider's price, minus the reimbursement from the organization, when
8 invoicing customers. Such balance is what the service provider may
9 charge the customer.

10 § 27-3423. Statewide packaging reduction, reuse, and recycling needs
11 assessment.

12 1. No later than one year after the effective date of this title and
13 every five years thereafter, the department shall complete or cause to
14 be completed a statewide packaging material reduction, reuse, and recy-
15 cling needs assessment to determine the current state of packaging mate-
16 rial reuse, recycling, and disposal, identify barriers and opportunities
17 to reduce the amount of packaging material discarded and disposed of,
18 and increase the reusability and recyclability of packaging material.

19 2. The needs assessment, at a minimum, shall cover the following:

20 (a) The current recycling rate for each type of packaging material;

21 (b) The amount, by weight and material type, of packaging material
22 recycled at each recycling facility that accepts discarded packaging
23 material generated in the state;

24 (c) The processing capacity, responsible end market conditions, and
25 opportunities in the state and regionally for recyclable materials
26 generally, and packaging material categories specifically;

27 (d) The net cost of end-of-life management of discarded packaging
28 material in the state, including the cost associated with the
29 collection, transportation, sortation, recycling, littering, landfill-
30 ing, or incineration of discarded packaging;

31 (e) The availability of opportunities in the recycling and reuse
32 system for minority- and women-owned businesses;

33 (f) Current barriers affecting recycling access and availability in
34 the state;

35 (g) Current barriers to the marketability of recyclable materials
36 generated in the state;

37 (h) Opportunities for the creation of packaging material reuse and
38 refill programs in the state;

39 (i) Opportunities for the improvement of packaging material recycling
40 in the state, including the development of responsible end markets for
41 recycled packaging materials;

42 (j) Current barriers affecting the creation and implementation of
43 packaging material reuse and refill programs;

44 (k) Consumer education needs in the state with respect to packaging
45 material waste reduction, recycling, and reducing contamination in recy-
46 cling, and reuse and refill systems for packaging material; and

47 (l) Landfill capacity.

48 3. In developing the needs assessment, the department shall consult
49 with the organization to ensure that the methodology used and data
50 collected by the department properly informs the organization's plan.

51 4. In developing the needs assessment, the department shall solicit
52 input from the public.

53 5. The cost incurred by the department associated with conducting the
54 needs assessment shall be paid for by the organization.

6. The department shall report the results of the needs assessment to the public, the state legislature, and the governor, and shall post the results on its website.

§ 27-3425. Education and outreach program.

1. The organization shall develop and implement an educational outreach program designed to educate the public about waste reduction and improve the effectiveness of municipal recycling and, at a minimum, include:

(a) Educational and informational materials for consumers related to reducing the amount of packaging discarded and disposed of in the state;

(b) A description of the environmental, social, economic, and environmental justice impacts associated with improper disposal of packaging material and failure to reuse or recycle packaging materials;

(c) Information on the proper end-of-life management of packaging material, including reuse, recycling, composting, and disposal;

(d) The location and availability of curbside collection and additional drop-off collection opportunities for packaging material, including deposit and take-back programs;

(e) How to prevent litter of packaging material in the process of collection;

(f) Recycling instructions that are consistent statewide, except as necessary to take into account differences among local laws and processing capabilities, easy to understand, and easily accessible;

(g) The best practices and guidance relating to compliance with applicable federal law or regulations established pursuant to paragraph (c) of subdivision six of section 27-3429 of this title, paragraph (c) of subdivision eleven of section 27-3433 of this title, and paragraph (c) of subdivision twelve of section 27-3433 of this title; and

(h) Any other information required by the department.

2. The educational outreach program shall incorporate, at a minimum, electronic, print, web-based and social media elements, including for use by municipalities and service providers at their discretion, as well as including a variety of outreach and education tools. Such educational outreach programs shall ensure materials are widely accessible and available in multiple languages.

3. The educational outreach program shall be coordinated with and assist municipalities and service providers.

4. The educational outreach program shall be developed to ensure disadvantaged communities receive targeted outreach and support.

5. The educational outreach program shall include a plan to work with producers to label or mark packaging material, in accordance with reasonable labeling standards, with information to assist consumers in responsibly managing and recycling covered materials.

6. The educational outreach program shall include a plan to work with New York state agencies that require labeling, including the department of agriculture and markets, to ensure producers can comply with this title and any other relevant rules or regulations.

7. The organization shall consult with municipalities and service providers on the development of educational materials and may coordinate on outreach and communication.

8. The organization shall be authorized to provide producers and retailers with educational materials related to the responsible reduction, reuse, recycling, or disposal of discarded packaging material. The educational and informational materials provided to the retailer under this subdivision may include, but need not be limited to, printed materials, signage and templates of materials that can be reproduced by

1 retailers and provided thereby to consumers at the time of a product's
2 purchase, and advertising materials that promote and encourage consumers
3 to properly reuse, recycle, or dispose of packaging material.

4 9. The organization shall make information on relevant tax credits and
5 other business incentives available to producers.

6 10. The organization shall promote the opportunity for all service
7 providers to register with the department and to submit invoices for
8 reimbursement with the organization.

9 § 27-3427. Prohibition on certain toxic substances and materials.

10 1. Notwithstanding title two of article thirty-seven of this chapter
11 to the contrary, (a) Beginning four years after the promulgation of
12 rules and regulations pursuant to this title, no producer shall sell,
13 offer for sale, or distribute into the state any packaging containing
14 any of the following toxic substances or materials as an intentionally
15 added substance:

16 (i) Ortho-phthalates;

17 (ii) Bisphenols but excluding Tetramethyl bisphenol F (TMBPF);

18 (iii) Per- and polyfluoroalkyl substances (PFAS);

19 (iv) Heavy metals and compounds, including lead, hexavalent chromium,
20 cadmium, and mercury, but excluding copper phthalocyanine (chemical
21 abstracts service registry number 147-14-8);

22 (v) Benzophenone and its derivatives;

23 (vi) Formaldehyde;

24 (vii) Toluene;

25 (viii) Antimony and compounds;

26 (ix) Polyvinyl chloride, including polyvinylidene chloride; or

27 (x) Polystyrene but excluding EPS (expanded polystyrene).

28 (b) Beginning seven years after the promulgation of rules and regu-
29 lations pursuant to this title, no person or entity shall sell, offer
30 for sale, or distribute into the state any packaging containing any of
31 the toxic substances listed in paragraph (a) of this subdivision as
32 intentionally added substance or at or above a level established by the
33 department through regulation.

34 2. Any producer that violates this section, or any rules or regu-
35 lations promulgated pursuant to this section, shall be subject to a fine
36 for each violation not to exceed ten thousand dollars per violation. For
37 the purposes of this section, each product line that is sold, offered
38 for sale, or distributed to consumers, via retail commerce, in the
39 state, including through an internet transaction shall be considered a
40 separate violation.

41 § 27-3429. Non-reusable packaging reduction standards.

42 1. Each individual producer is required to meet the following packag-
43 ing reduction requirements:

44 (a) Beginning three years after the program implementation date set
45 forth in subdivision three of section 27-3407 or January first of the
46 third year following the date on which a producer first registers with
47 an organization if a producer registers after the program implementation
48 date, such producer shall reduce the total amount of plastic packaging
49 material, including plastic primary packaging, and all other non-primary
50 packaging material, including secondary and tertiary packaging of all
51 materials by ten percent either on a company-wide basis or by unit
52 weight, for covered materials used to contain, protect, deliver, pres-
53 ent, or distribute the products they sell, offer for sale, or distribute
54 for sale in the state.

55 (b) Beginning five years after the program implementation date set
56 forth in subdivision three of section 27-3407 or January first of the

fifth year following the date on which a producer first registers with an organization if a producer registers after the program implementation date, such producer shall reduce the total amount of plastic packaging material, including plastic primary packaging, and all other non-primary packaging material, including secondary and tertiary packaging of all materials by fifteen percent either on a company-wide basis or by unit weight, for covered materials used to contain, protect, deliver, present, or distribute the products they sell, offer for sale, or distribute for sale in the state.

(c) Beginning eight years after the program implementation date set forth in subdivision three of section 27-3407 or January first of the eighth year following the date on which a producer first registers with an organization if a producer registers after the program implementation date, such producer shall reduce the total amount of plastic packaging material, including plastic primary packaging, and all other non-primary packaging material, including secondary and tertiary packaging of all materials by twenty percent either on a company-wide basis or by unit weight, for covered materials used to contain, protect, deliver, present, or distribute the products they sell, offer for sale, or distribute for sale in the state.

(d) Beginning ten years after the program implementation date set forth in subdivision three of section 27-3407 or January first of the tenth year following the date on which a producer first registers with an organization if a producer registers after the program implementation date, such producer shall reduce the total amount of plastic packaging material, including plastic primary packaging, and all other non-primary packaging material, including secondary and tertiary packaging of all materials by twenty-five percent either on a company-wide basis or by unit weight for covered packaging materials used to contain, protect, deliver, present, or distribute the products they sell, offer for sale, or distribute for sale in the state.

(e) Beginning twelve years after the program implementation date set forth in subdivision three of section 27-3407 or January first of the twelfth year following the date on which a producer first registers with an organization if a producer registers after the program implementation date, such producer shall reduce the total amount of plastic packaging material, including plastic primary packaging, and all other non-primary packaging material, including secondary and tertiary packaging of all materials by thirty percent either on a company-wide basis or by unit weight, for covered materials used to contain, protect, deliver, present, or distribute the products they sell, offer for sale, or distribute for sale in the state.

2. The reductions required by this section shall be measured against the packaging material the producer used during the first year such producer registered with an organization.

3. These reductions shall be achieved by eliminating single-use packaging material, including secondary or tertiary packaging material, elimination of packaging material components, reduction of packaging material components, or by transitioning to reusable or refillable packaging systems. Reductions may also be achieved by substituting plastic packaging material with non-plastic packaging material. However, the reductions required by this section shall not be achieved by substituting non-plastic materials with plastic materials or substituting recyclable materials with non-recyclable materials.

4. In the case of a producer for which, as of the effective date of this title or upon entry into the market after such effective date, a

1 portion of its packaging is reusable and contained within a reuse and
2 refill system, such producer may apply to the department for a waiver
3 from the packaging reduction requirements set forth in subdivision one
4 of this section with respect to that percentage of its packaging, by
5 unit weight, which is contained within a reuse and refill system.

6 5. In the case of a producer that demonstrates in a manner satisfac-
7 tory to the department that, for the period beginning ten years prior to
8 the effective date of this title and ending on the date which is two
9 years after the effective date of this title, or in the case of a
10 producer registering with an organization two years after the effective
11 date of this title, for the period beginning ten years prior to the
12 producer registering with an organization, the producer reduced the
13 amount of packaging used to contain, protect, deliver, present, or
14 distribute the products the producer sells, offers for sale, or distrib-
15 utes for sale into the state, such producer may apply to the department
16 for a waiver from the packaging reduction requirements of this section
17 with respect to that percentage of its packaging, by unit weight, which
18 was reduced during such twelve-year period.

19 6. (a) A producer may apply to the department for a partial or
20 complete waiver from the reduction requirements of this section if bona
21 fide compliance is impossible due to federal law or substantially
22 impairs compliance with health, safety, or labeling requirements under
23 federal law, and any regulations promulgated thereunder, including, but
24 not limited to requirements relating to the contents of packaging mate-
25 rials that come into contact with food or drugs not otherwise exempted
26 under this title; standardized labeling of weight, quantity, ingredi-
27 ents, nutrition, material contents, product origin and manufacturer, or
28 health and safety warnings; or packaging design to prevent or limit
29 ingestion by minors.

30 (b) Such waiver shall be applied for at least every five years on a
31 form prescribed by the department. In such application the producer
32 shall provide sufficient information, as determined by the department in
33 consultation with the advisory council, to make a determination that
34 such waiver is necessary and proper and the extent to which such waiver
35 shall apply, including citation to the relevant federal law or regu-
36 lation, an explanation as to why compliance with this section is made
37 impossible or substantially impaired by federal law or regulations, and
38 evidence that the producer has otherwise taken all feasible actions to
39 achieve the reductions required by this section.

40 (c) The department, in consultation with the advisory council, organ-
41 izations, the department of health, and relevant federal health and
42 environmental subdivisions, shall, no later than two years after the
43 effective date of this section develop and maintain on its website,
44 incorporate into the education and outreach materials required pursuant
45 to section 27-3425 of this title, and update at least annually thereaft-
46 er, a list of best practices and guidance relating to the design or
47 manufacture of common packing materials subject to regulation under
48 federal law to (i) reduce, to the maximum extent practicable, the amount
49 of packaging material used; and (ii) maintain compliance with applicable
50 federal law or regulations.

51 7. Notwithstanding subdivision four of this section, the requirements
52 of this section shall not apply to reusable or refillable packaging or
53 containers contained within a reuse or refill system and their secondary
54 or tertiary packaging, however a producer switching to reusable or
55 refillable packaging or containers contained within a reuse or refill
56 system from other packaging shall qualify for the above standards.

1 8. Nothing in this section shall preclude a producer from going beyond
2 the reduction standards in subdivision one of this section.
3 § 27-3431. Recycled content standards.

4 1. Each individual producer shall meet the recycling content targets
5 contained in this section.

6 2. Beginning two years after promulgation of rules and regulations
7 pursuant to this title:

8 (a) all paper carryout bags sold, offered for sale, or given away free
9 in the state by a producer shall contain, on average, at least forty
10 percent post-consumer recycled content; except that a paper carryout bag
11 that holds eight pounds or less shall only be required to contain, on
12 average, at least twenty percent post-consumer recycled content; and

13 (b) all plastic trash bags sold or offered for sale in the state by a
14 producer shall contain, on average, at least ten percent post-consumer
15 recycled content.

16 3. Beginning five years after the promulgation of rules and regu-
17 lations pursuant to this title all plastic trash bags sold or offered
18 for sale in the state by a producer shall contain, on average, at least
19 twenty percent post-consumer recycled content.

20 4. The requirements of this section shall not apply to reusable or
21 refillable packaging or containers contained within a reuse or refill
22 system.

23 5. Beginning two years after plan implementation begins for the
24 initial organization, the department is authorized, in consultation with
25 the advisory council and the organization, to:

26 (a) establish content requirements for materials not listed in subdivi-
27 vision two of this section; and

28 (b) modify the post-consumer recycled content targets for the materi-
29 als set forth in subdivision two of this section, provided that modifi-
30 cations do not result in a lesser percentage or an earlier year for the
31 respective target.

32 § 27-3433. Recyclability criteria, reusable or refillable packaging
33 requirements, and packaging recycling requirements.

34 1. Within eighteen months of the effective date of this title, the
35 department shall approve a list of packaging materials that are deter-
36 mined to be recyclable statewide through a system where materials that
37 are commingled into a recyclables stream. The department shall establish
38 standards for collection services sufficient to meet the needs of
39 consumers in an ongoing and convenient manner. The department may grant
40 a municipality or service provider an exception or waiver to the
41 requirements of this subdivision if they demonstrate to the reasonable
42 satisfaction of the department that it is not able to provide services
43 or provide the convenience standards for the materials on the list
44 developed by the department.

45 2. Within eighteen months of the effective date of this title, the
46 department shall approve a list of packaging materials determined to be
47 recyclable and collected statewide through systems other than the system
48 required for packaging materials on the list established by the depart-
49 ment according to subdivision one of this section.

50 3. The department shall consult with the advisory council, the organ-
51 ization, municipalities, service providers, and any other interested
52 parties determined by the department to develop or amend the minimum
53 recyclables list and shall review any requests by interested parties for
54 additional or removal of packaging materials from the minimum recycling
55 lists.

1 4. In developing the minimum recyclable lists, the department may
2 consider the following criteria:

- 3 (a) current availability of recycling collection services;
4 (b) recycling process and infrastructure;
5 (c) capacity and technology for sorting packaging materials;
6 (d) whether a packaging material is of a type and form that is regu-
7 larly sorted and aggregated into defined streams for recycling processes
8 or is included in a relevant national recycled material association;
9 (e) availability of responsible end markets for packaged materials;
10 (f) presence and amount of processing residuals, contamination, and
11 toxic substances;
12 (g) quantity of packaging materials estimated to be available and
13 recoverable;
14 (h) availability of domestic post-consumer recycled content;
15 (i) projected future conditions for the criteria above; and
16 (j) any other criteria or factors as determined by the department.

17 5. The department may amend a list completed under this section annu-
18 ally and shall provide amended lists to an organization within a reason-
19 able amount of time after adopting an amendment. The organization shall
20 provide amended lists to service providers and producers as soon as
21 possible after receiving the amendment and work to incorporate changes
22 in relevant reimbursement rates within a year.

23 6. The categories used by the organization for producer reporting and
24 fee payments shall align with the lists developed by the department.

25 7. Beginning January first, two thousand thirty-two, packaging materi-
26 als that are not reusable or refillable packaging or containers capable
27 of being managed through a reuse and refill system that meet the
28 requirements of this title used by a producer shall meet the following
29 recyclability criteria:

- 30 (a) be capable of being sorted by entities that process recyclable
31 material generated in the state;
32 (b) have responsible end markets;
33 (c) not contain the following:
34 (i) opaque or pigmented polyethylene terephthalate;
35 (ii) oxo-degradable additives, including oxo-biodegradable additives;
36 (iii) polyethylene terephthalate glycol in rigid packaging;
37 (iv) label constructions, including adhesives, inks, materials and
38 formats, or features that render a package non-recyclable or disruptive
39 to the recycling process; and
40 (v) DoPS - polystyrene, excluding EPS (expanded polystyrene);
41 (d) meet the post-consumer content requirements of this title; and
42 (e) any other criteria determined by the department.

43 8. Each individual producer shall be required to meet the following
44 reuse standards, producer packaging changes to achieve these standards
45 may also fulfill a producer's requirements under section 27-3429 of this
46 title:

- 47 (a) Beginning January first, two thousand thirty-two, a minimum of
48 five percent of packaging material shall be reusable or refillable
49 packaging or containers;
50 (b) Beginning January first, two thousand forty, a minimum of ten
51 percent of packaging material shall be reusable or refillable packaging
52 or containers; and
53 (c) Beginning January first, two thousand fifty-five, a minimum of
54 twenty percent of packaging material shall be reusable or refillable
55 packaging or containers.

1 9. An organization shall be required to meet the following recycling
2 rate standards:

3 (a) With respect to covered materials that are non-plastic packaging:

4 (i) Beginning January first, two thousand thirty-two, a minimum of
5 thirty-five percent of packaging material reported by an organization as
6 supplied into the state shall be reused or recycled;

7 (ii) Beginning January first, two thousand forty, a minimum of fifty
8 percent of packaging material reported by an organization as supplied
9 into the state shall be reused or recycled; and

10 (iii) Beginning January first, two thousand fifty-five, a minimum of
11 seventy-five percent of packaging material reported by an organization
12 as supplied into the state shall be reused or recycled.

13 (b) With respect to covered materials that are plastic packaging:

14 (i) Beginning January first, two thousand thirty-two, a minimum of
15 twenty-five percent of plastic packaging material reported by an organ-
16 ization as supplied into the state shall be reused or recycled;

17 (ii) Beginning January first, two thousand forty, a minimum of fifty
18 percent of plastic packaging material reported by an organization as
19 supplied into the state shall be reused or recycled; and

20 (iii) Beginning January first, two thousand fifty-five, a minimum of
21 seventy-five percent of plastic packaging material reported by an organ-
22 ization as supplied into the state shall be reused or recycled.

23 10. The department may adjust the recycling rates in subdivision three
24 of this section by rulemaking based on information gathered through the
25 needs assessment or provided in producer plans and reports, and/or based
26 on consideration of environmental, technical and economic conditions. An
27 adjustment to the statewide recycling performance targets may not adjust
28 the recycling rate target to less than thirty percent or more than
29 seventy-five percent.

30 11. (a) A producer may apply to the department for a partial or
31 complete waiver from the recyclability requirements of this section if
32 bona fide compliance is impossible due to federal law or substantially
33 impairs compliance with health, safety, or labeling requirements under
34 federal law, and any regulations promulgated thereunder, including, but
35 not limited to requirements relating to the contents of packaging mate-
36 rials that come into contact with food or drugs not otherwise exempted
37 under this title; standardized labeling of weight, quantity, ingredi-
38 ents, nutrition, material contents, product origin and manufacturer, or
39 health and safety warnings; or packaging design to prevent or limit
40 ingestion by minors.

41 (b) Such waiver shall be applied for at least every five years on a
42 form prescribed by the department. In such application the producer
43 shall provide sufficient information, as determined by the department in
44 consultation with the advisory council, to make a determination that
45 such waiver is necessary and proper and the extent to which such waiver
46 shall apply, including citation to the relevant federal law or regu-
47 lation, an explanation as to why compliance with this section is made
48 impossible or substantially impaired by federal law or regulations and
49 evidence that the producer has otherwise taken all feasible actions to
50 achieve the reductions required by this section.

51 (c) The department, in consultation with the advisory council, organ-
52 izations, the department of health, and relevant federal health and
53 environmental subdivisions, shall, no later than two years after the
54 effective date of this section develop and maintain on its website,
55 incorporate into the education and outreach materials required pursuant
56 to section 27-3425 of this title, and update at least annually thereaft-

er, a list of best practices and guidance relating to the design or manufacture of common packing materials subject to regulation under federal law to (i) expand the recyclability of packaging material used; and (ii) maintain compliance with applicable federal law or regulations.

12. (a) A producer may apply to the department for a partial or complete waiver from the reuse standards of this section if bona fide compliance is impossible due to federal law or substantially impairs compliance with health, safety, or labeling requirements under federal law, and any regulations promulgated thereunder, including, but not limited to requirements relating to the contents of packaging materials that come into contact with food or drugs not otherwise exempted under this title; standardized labeling of weight, quantity, ingredients, nutrition, material contents, product origin and manufacturer, or health and safety warnings; or packaging design to prevent or limit ingestion by minors.

(b) Such waiver shall be applied for at least every five years on a form prescribed by the department. In such application the producer shall provide sufficient information, as determined by the department in consultation with the advisory council, to make a determination that such waiver is necessary and proper and the extent to which such waiver shall apply, including citation to the relevant federal law or regulation, an explanation as to why compliance with this section is made impossible or substantially impaired by federal law or regulations and evidence that the producer has otherwise taken all feasible actions to achieve the reductions required by this section.

(c) The department, in consultation with the advisory council, organizations, the department of health, and relevant federal health and environmental subdivisions, shall, no later than two years after the effective date of this section develop and maintain on its website, incorporate into the education and outreach materials required pursuant to section 27-3425 of this title, and update at least annually thereafter, a list of best practices and guidance relating to the design or manufacture of common packing materials subject to regulation under federal law to (i) expand the reuse of packaging material used; and (ii) maintain compliance with applicable federal law or regulations.

§ 27-3435. Penalties and enforcement.

1. Failure to comply with the requirements of this title shall subject the organization or an individual producer to penalties for violations. The department or attorney general, may conduct investigations, including inspecting operations, facilities, and records of producers and organizations, and performing audits of producers and organizations, to determine whether such producers and organizations are complying with the requirements of this title.

2. The department or the attorney general, shall notify an organization or producer of any conduct or practice that does not comply with the requirements of this title and of any inconsistencies identified in an audit.

3. The department and the attorney general, may issue a notice of violation to, and impose an administrative civil penalty not to exceed one thousand dollars per day per violation on any entity not in compliance with this title or any of the regulations the department adopts to implement this title. For the purposes of this section, each product line that is sold, offered for sale, or distributed to consumers via retail commerce in the state, including through an internet transaction, shall be considered a separate violation.

4. Civil penalties under this section shall be assessed by the department after an opportunity to be heard pursuant to the provisions of section 71-1709 of this chapter, or by the court in any action or proceeding pursuant to section 71-2727 of this chapter, and in addition thereto, such person or entity may by similar process be enjoined from continuing such violation and any permit, registration or other approval issued by the department may be revoked or suspended or a pending renewal denied.

§ 27-3437. Rules and regulations.

1. Within eighteen months after the effective date of this section, the department shall promulgate all rules and regulations necessary to implement, administer, and enforce the provisions of this title.

2. When promulgating rules pursuant to the provisions of this section, the department shall solicit input from the public of any draft rule or regulation to implement this section, including at a minimum a ninety-day comment period and one public hearing on such draft rules.

§ 27-3439. State preemption.

Jurisdiction in all matters pertaining to costs and funding mechanisms of packaging reduction and recycling organizations relating to the recovery of packaging materials shall, by this title, be vested exclusively in the state; provided, however, that nothing in this title shall preclude any person from coordinating, for recycling or reuse, the collection of packaging materials and products.

§ 27-3441. Other assistance programs.

Nothing in this title shall impact any producer eligibility for any state or local incentive or assistance program to which they are otherwise eligible.

§ 27-3443. Antitrust protections.

A producer shall not be liable for any claim of a violation of anti-trust, restraint of trade, or unfair trade practice arising from conduct undertaken in order to comply with this title; provided, however, this section shall not apply to any agreement establishing or affecting the price of packaging material, or the output or production of any agreement restricting the geographic area or customers to which packaging material will be sold.

§ 27-3445. Severability.

The provisions of this title shall be severable and if any phrase, clause, sentence or provision of this title or the applicability thereof to any person or circumstance shall be held invalid, the remainder of this title and the application thereof shall not be affected thereby.

§ 3. The environmental conservation law is amended by adding a new section 37-0202 to read as follows:

§ 37-0202. Applicability.

This article shall only have effect to the extent that the prohibitions in this title are not otherwise substantially given effect or in conflict with the provisions of title thirty-four of article twenty-seven of this chapter.

§ 4. This act shall take effect immediately.